

Australian net overseas migration, jobs, growth and higher education - Labor, Coalition and One Nation settings compared - Dynamic Walkthrough

A guided run of the simulator, from its own numbers

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Forward view only, three election cycles to the end of May 2034

Audience: decision-makers and advisers. Estimated time: 110 minutes.

This is a guided run, not a tour

Allow about two hours. You will read the model's record first, then the baseline future, then each party setting and sector test, then set two scenarios against each other and look for the traps in the structure.

System dynamics, the method Forrester developed at MIT and others refined over six decades, earns its keep in the interactions: the delays between arrivals and departures, between workers and the jobs their spending creates, between a student finishing one course and starting the next, and between a policy announcement and the year-ending figure the ABS reports. Every number below is exactly what the dashboard displays - a tile, or the hover readout when you rest the cursor on a chart at the date named (the readout names the day, for example 30 Jun 2028). The dashboard runs to the end of May 2034, three full federal terms; dash-dot lines mark the end of each term.

Complex systems behave according to a combination of one or more standard behaviour patterns known as 'archetypes'. The interplay of these makes situations and decisions complex. The archetypes identified in this model are:

- **Limits to growth.** A growth engine eventually meets a brake that has been quietly tightening. Here the study-to-stay pipeline grows the temporary population until housing pressure, public pressure, the fixed number of permanent places and the departures of earlier cohorts slow it; in the economy a larger population raises demand until unemployment and weaker job prospects push back; and in the education sector private providers' network-driven growth runs into targeted scrutiny of their source markets and, if demand recovers, the allocation throttles.

- **Shifting the burden.** A quick fix relieves the symptom and slowly weakens the system's ability to address the cause. Here cutting intake is the quick fix for housing pressure while building is the slow one; skilled migration is the quick fix for skills shortages while domestic training is the slow one; and onshore transfers down the price ladder are a private provider's quick fix for an offshore shortfall, where the slow fix is recruiting in markets that pass the genuine-student test. The upward-only rule removes most of that quick fix.
- **Fixes that fail.** The fix solves the problem now and creates a worse version of it later. Here, tightening migration to ease housing also starves construction of workers; raising intake to ease shortages also raises demand for labour, recreating part of the shortage; and cutting student numbers cuts the tuition income that feeds the sector's pressure to ease the settings again.
- **Growth and underinvestment.** Capacity is not built in time, performance softens, and the case for investment evaporates. Here, decision, tribunal and removal capacity lag the bridging queue, and a provider's larger allocation is conditional on housing it has not yet built.
- **Drifting goals (eroding goals).** When performance falls short, the goal quietly lowers to meet it. Here, each party's migration number has drifted with the record, and allocations set with utilisation in view drift down to what a demand-limited provider achieved.
- **Tragedy of the commons.** Each actor's rational choice degrades the shared resource everyone depends on. Here, every temporary stream draws on the same fixed number of permanent places, and each provider type's share of the student planning level is drawn by two inflows, offshore commencements and onshore transfers, of which only the offshore one is throttled.
- **Success to the successful.** Whoever is ahead gets the resources to stay ahead. Here, allocations follow use, so a provider that fills its places earns more of them, and peer and agent networks keep sending the South Asian market to the provider types that already hold it.

Terms and definitions

The dashboard has been designed so that hovering over a button, key or term typically brings a pop-up box with a definition. However, for completeness in this document:

- **Labor package (announced 17 Sep 2026).** Units: switch; baseline 0. Scale: 0 = off, 1 = on. A switch, not a strength setting.
- **Labor legislation passes.** Units: switch; baseline 0. Scale: 0 = legislation fails, 1 = it passes.
- **Coalition housing rule.** Units: switch; baseline 0. Scale: 0 = off, 1 = on.
- **Coalition ceiling: persons per completed dwelling.** Units: persons/dwelling; baseline 1.
- **One Nation package.** Units: switch; baseline 0. Scale: 0 = off, 1 = on.
- **One Nation legislation passes.** Units: switch; baseline 0. Scale: 0 = legislation fails, 1 = it passes.
- **One Nation net NOM target (first three years).** Units: persons/yr; baseline 0.

- **One Nation ceiling (from July 2031).** Units: persons/yr; baseline 130,000.
- **One Nation cut to temporary grants.** Units: share; baseline 0.25. Scale: 0 = no extra cut, 1 = every temporary grant withheld; 0.25 = one in four withheld. Higher = tighter.
- **Permanent Migration Program planning level.** Units: persons/yr; baseline 185,000.
- **International student planning level.** Units: persons/yr; baseline 295,000.
- **Working holiday second-year ballot places.** Units: persons/yr; baseline 45,000.
- **Visitor no-further-stay: share of onshore applications stopped.** Units: share; baseline 0.8. Scale: 0 = no onshore visitor applications stopped, 1 = all stopped; 0.8 = 80% stopped. Higher = tighter.
- **Compliance removal capacity.** Units: persons/yr; baseline 19,015.
- **Review tribunal decision capacity.** Units: persons/yr; baseline 37,115.
- **Underlying student visa demand.** Units: persons/yr; baseline 133,135.
- **Underlying skilled temporary visa demand.** Units: persons/yr; baseline 30,105.
- **Underlying working holiday demand.** Units: persons/yr; baseline 89,930.
- **Underlying dwelling commencements.** Units: dwellings/yr; baseline 184,285.
- **Labour productivity growth (from today).** Units: per quarter; baseline 0.00001624. Scale: Per quarter: 0.00002 = about 0% a year (recent trend); 0.003 = 1.2% a year (IGR 2026). Higher = faster.
- **Structural (full-employment) unemployment rate.** Units: share; baseline 0.046. Scale: A share: 0.046 = 4.6% unemployed at full employment. Lower = better matching.
- **Domestic entry to skilled work.** Units: persons/yr; baseline 648,648.
- **Demand offset: jobs created by new residents.** Units: share; baseline 1. Scale: 0 = new residents' spending creates jobs only in line with population; 1 = in line with the workers they add. Higher = more of the new workers' jobs created by the demand they bring.
- **Upward-only rule: reading.** Units: switch; baseline 0. Scale: 0 = same-level moves between providers continue (default); 1 = every university-to-private move cut.
- **University international fee.** Units: AUD/yr; baseline 40,000.
- **Private higher education international fee.** Units: AUD/yr; baseline 24,000.
- **Private higher education allocation (2026 split).** Units: places/yr; baseline 34,325.
- **MD115: share of applicants lost to slower processing.** Units: share; baseline 0.2929. Scale: A share: 0.3 = 30% of applicants to providers past 80% of allocation lost to slower processing. Higher = tougher.
- **Archetype A fee (private city non-university).** Units: AUD/yr; baseline 24,000.
- **Archetype B fee (mid-tier metropolitan university).** Units: AUD/yr; baseline 40,000.
- **Archetype C fee (domestic-focused specialist).** Units: AUD/yr; baseline 22,000.

The preset strategies, as changes from baseline:

- **Current settings.** Nothing - every lever at baseline.
- **Budget path: Labor package.** Labor package on.
- **Coalition rule as announced.** Coalition housing rule on (1 person per dwelling).
- **Coalition below 170,000.** Coalition housing rule on, 0.8 people per dwelling.

- **One Nation as announced.** One Nation package on.
- **One Nation: three years net negative.** One Nation package and legislation on; target - 100,000; ceiling 100,000.
- **Sector: planning level filled.** Labor package on; underlying student demand raised from 133,135 to 318,135 a year.
- **Sector: upward-only rule, strict reading.** Labor package on; upward-only rule read strictly (every move down the ladder stopped).
- **Sector: wider price ladder.** University international fee \$40,000 -> \$48,000 a year.
- **Archetype A: fee cut.** Archetype A fee \$24,000 -> \$19,000 a year.
- **Ambition: per-capita growth 1.1% (IGR productivity).** Productivity growth from the recent trend to the IGR's 1.2% a year.
- **Worker intake +50%.** Underlying skilled temporary and working holiday demand about 50% higher.
- **Sensitivity: demand follows population.** Demand offset 1 -> 0 (an assumption test, not a policy).
- **Ambition: full employment (4.6%).** Structural unemployment rate 0.046 -> 0.041.
- **Ambition: shortages eased to 19%.** Domestic entry to skilled work about 25% higher.

The invented indices and shares, and how to read them:

- **Unemployment rate.** Shown in per cent: 4.6 = 4.6% of the labour force unemployed. Higher = more slack.
- **Occupations in shortage.** Shown in per cent: 19 = 19% of assessed occupations in shortage. Higher = more shortages.
- **Vacancies per unemployed person.** 0.5 = one vacancy for every two unemployed people; 1 = one each. Higher = tighter.
- **Rental vacancy rate.** Shown in per cent: 1 = 1% of rental dwellings vacant. Higher = looser market.
- **Cut to temporary grants.** Shown in per cent: 30 = 30% of new temporary grants withheld. Higher = tighter.
- **University allocation use.** Shown in per cent: 80 = commencements at 80% of the type's allocation (MD115 priority 2 begins for providers past it); 100 = at the allocation. Higher = closer to the cap.
- **Private higher education allocation use.** Shown in per cent: 80 = commencements at 80% of the type's allocation (MD115 priority 2 begins for providers past it); 100 = at the allocation. Higher = closer to the cap.
- **VET allocation use.** Shown in per cent: 80 = commencements at 80% of the type's allocation (MD115 priority 2 begins for providers past it); 100 = at the allocation. Higher = closer to the cap.
- **South Asian share of applications.** Shown in per cent: 30 = 30% of offshore applications. Higher = a larger South Asian share.

- **Chinese share of applications.** Shown in per cent: 30 = 30% of offshore applications. Higher = a larger Chinese share.
- **South Asian refusal rate.** Shown in per cent: 40 = 40% of applications refused. Higher = tighter.
- **Chinese refusal rate.** Shown in per cent: 5 = 5% of applications refused. Higher = tighter.
- **Rest-of-world refusal rate.** Shown in per cent: 20 = 20% of applications refused. Higher = tighter.
- **Archetype A allocation use.** Shown in per cent: 80 = 80% of the archetype's allocation (MD115 priority 2); 115 = priority 3. Higher = closer to or past its cap.
- **Archetype B allocation use.** Shown in per cent: 80 = 80% of the archetype's allocation (MD115 priority 2); 115 = priority 3. Higher = closer to or past its cap.
- **Archetype C allocation use.** Shown in per cent: 80 = 80% of the archetype's allocation (MD115 priority 2); 115 = priority 3. Higher = closer to or past its cap.
- **Archetype A revenue against 2025.** Shown in per cent: 100 = the archetype's 2025 international revenue; 80 = 20% below it. Higher = more revenue.
- **Archetype B revenue against 2025.** Shown in per cent: 100 = the archetype's 2025 international revenue; 80 = 20% below it. Higher = more revenue.
- **Archetype C revenue against 2025.** Shown in per cent: 100 = the archetype's 2025 international revenue; 80 = 20% below it. Higher = more revenue.

Two sector terms recur. The hop down the price ladder is a student who finishes a university course and moves to a cheaper private higher education or VET place instead of progressing or leaving. Allocation use is commencements over the last twelve months against a provider type's (or an archetype's) share of the planning level; under Ministerial Direction 115 offshore applicants to a provider past 80% of its allocation drop to slower processing, and past 115% to the slowest.

Step 1. Read the validation record (backcast) first (15 minutes)

Settings: none yet - this dashboard has the forward view only, so the validation backcast is read from the documentation. Open the Narrative Report at Figure 2: the calibrated model replays July 2018 to October 2026 with the published data drawn over it, filled dots inside the pre-declared tolerance, open dots outside. The dashed line marks October 2026; to its right is the base-case forward projection, not part of the locked history. The forward view you will use starts exactly there.

The record it had to match: year-ending net overseas migration (23 of 28 points within our modelling tolerance), unemployment (31 of 32), workers and jobs (62 of 65), total GDP (31 of 32) and the share of occupations in shortage (5 of 5). The weak spots: temporary visa holders by class (43 of 70, the pandemic-era paths), real GDP per person (25 of 32, against a tight 1% band) and vacancies per unemployed person (9 of 32, the 2022 peak understated and late). In the sector, the source-market shares score 10 of 18 and commencements by provider type 27 of

145: the published series count courses and the model counts people, so sector levels are read as direction. These scores are from the validation view of the full dashboard (package A); the Model Components reference sets out every check.

What to take from this: trust the forward comparisons of migration, unemployment, employment and GDP, and the direction of the higher education sector's shares; read labour-market tightness, sector levels and anything resting on the pandemic years as shape, not size.

Step 2. Read the forward baseline carefully (20 minutes)

Settings: Scenario A; click Current settings (every lever at baseline, productivity at the recent trend, demand offset 1). Scenario B is also at baseline, so the solid and dashed lines coincide (the dashed lines are hidden under the solid ones).

Migration falls without a policy. On the net overseas migration chart (chart #1) the year-ending figure starts at 301,814 today (the hover reads 30 Sep 2026) and reads 293,146 at 30 Jun 2027, 283,892 at 30 Jun 2030 and 264,914 at the end of May 2034. Why: the 2022-23 cohorts are finishing courses and visas; the departures loop does the work. The reported figure lags the flows by about two quarters, so no lever can move the 2026-27 figure much.

The bridging queue keeps growing. On the bridging chart (chart #4), bridging visa holders rise from 379,589 today to 791,753 at the end of May 2034: applications for permanent places and reviews arrive faster than the fixed number of places and the tribunal can clear them. Read the level as a direction, not a point.

Unemployment drifts up slowly. On the unemployment chart (chart #8) the rate moves from 4.098% today to 4.350% at 30 Jun 2028 and 5.009% at the end of May 2034, above the dotted horizontal 4.6% line. The single-series chart zooms tightly: check the axis before reading a movement as large.

Growth per person is weak at the recent trend. On the growth chart (chart #10), growth in GDP per person is 0.137% a year at 30 Jun 2028 and 0.205% at the end of May 2034, below the dotted 1.1% ambition, while total GDP growth is 1.508%: population carries total growth, productivity does not.

Shortages ease, then return. The share of occupations in shortage (chart #13) moves from 29.9% today to 25.5% at its lowest (30 Jun 2032) and reads 25.9% at the end of May 2034.

The higher education sector drifts further from its allocations. On the allocation-use chart (chart #17), universities move from 46.7% today to 39.9% at the end of May 2034, private higher education from 64.5% to 49.2% and VET from 46.7% to 36.1%, all under the dotted 80% MD115 line. The hop down the price ladder (chart #18) runs at 3,965 a year today and 2,457 at the end of May 2034; on the source-market refusals chart (chart #20) South Asia reads 42.3% today and

51.1% at the end of May 2034, against 9.0% for China. Tuition income (chart #21) moves from \$11.587 billion a year today to \$9.448 billion at the end of May 2034.

The provider archetypes all lose ground. On the archetype revenue chart (chart #23), A, B and C read 63.7%, 70.5% and 57.1% of their 2025 revenue at the end of May 2034. On the archetype A and B chart (chart #24), A's allocation moves from 1,143 today to 913.2 at the end of May 2034: the utilisation rule trims each allocation toward what the provider used.

What to take from this: the baseline is not a flat line. Migration is already falling, the bridging queue is already growing, the economy is drifting toward a little more slack and the sector is drifting away from its allocations. Every party setting is read against this moving baseline.

Step 3. Walk the preset scenarios (30 minutes)

Settings: Forward view; Scenario A; click each preset in turn (each click resets every lever to baseline first). The tiles at the top of the page show the values at the end of May 2034:

Preset	What it changes	NOM, year ending	Temporary visa holders	Unemployment	GDP per person growth	Occupations in shortage	Private HE allocation use	Read as
Current settings	Nothing - every lever at baseline	264,914	1,783,760	5.0%	0.21%	26%	49%	a direction, not a forecast
Budget path: Labor package	Labor package on	212,464	1,288,279	4.7%	0.34%	25%	92%	a direction, not a forecast
Coalition rule as announced	Coalition housing rule on (1 person per dwelling)	187,782	1,317,515	5.4%	0.08%	21%	50%	a direction, not a forecast
Coalition below 170,000	Coalition housing rule on, 0.8 people per dwelling	153,538	1,142,186	5.4%	0.02%	19%	46%	a direction, not a forecast
One Nation as announced	One Nation package on	143,106	830,558	5.8%	0.12%	16%	43%	a direction, not a forecast
One Nation: three	One Nation package and	138,430	578,997	6.0%	0.19%	14%	41%	a direction, not a forecast

years net negative	legislation on; target - 100,000; ceiling 100,000							
Sector: planning level filled	Labor package on; underlying student demand raised from 133,135 to 318,135 a year	246,125	1,805,325	3.6%	0.32%	43%	100%	a direction, not a forecast
Sector: upward-only rule, strict reading	Labor package on; upward-only rule read strictly (every move down the ladder stopped)	212,410	1,287,620	4.7%	0.34%	25%	91%	a direction, not a forecast
Sector: wider price ladder	University international fee \$40,000 - > \$48,000 a year	265,694	1,774,380	5.0%	0.21%	26%	49%	a direction, not a forecast
Archetype A: fee cut	Archetype A fee \$24,000 - > \$19,000 a year	264,914	1,783,760	5.0%	0.21%	26%	49%	a direction, not a forecast
Ambition: per-capita growth 1.1% (IGR productivity)	Productivity growth from the recent trend to the IGR's 1.2% a year	264,231	1,787,176	5.0%	1.39%	26%	49%	a direction, not a forecast
Worker intake	Underlying skilled	272,986	1,924,964	5.1%	0.15%	26%	43%	a direction,

+50%	temporary and working holiday demand about 50% higher							not a forecast
Sensitivity: demand follows population	Demand offset 1 - > 0 (an assumption test, not a policy)	257,136	1,698,460	9.6%	-0.03%	8%	50%	a direction, not a forecast
Ambition: full employment (4.6%)	Structural unemployment rate 0.046 -> 0.041	266,010	1,799,494	4.5%	0.21%	30%	49%	a direction, not a forecast
Ambition: shortages eased to 19%	Domestic entry to skilled work about 25% higher	264,437	1,780,773	5.0%	0.20%	17%	49%	a direction, not a forecast

Labor's package. Settings: Labor package (announced 17 Sep 2026) off -> on. The year-ending figure (chart #1) drops to 227,615 at 30 Jun 2027 and 174,352 at 30 Jun 2028 - the ballots and the dependant closure cut arrivals at once - then climbs to 212,464 at the end of May 2034 as the smaller cohorts depart less. Unemployment (chart #8) is 3.978% at 30 Jun 2028, below baseline. In the sector, the hop (chart #18) falls to 139.7 a year at 30 Jun 2028 and private higher education's allocation use (chart #17) reaches 91.8% at the end of May 2034.

The Coalition rule. Settings: Coalition housing rule off -> on. Nothing happens until July 2028; the year-ending figure (chart #1) then falls to 169,183 at 30 Jun 2030 and settles at 187,782 at the end of May 2034, just above a ceiling of 185,990. The cap works on grants, the ceiling on the reported figure, and the reporting lag keeps the two apart. University commencements (chart #15) read 50,636 a year at the end of May 2034 against 68,446 at baseline.

One Nation. Settings: One Nation package off -> on. The year-ending figure (chart #1) is 17,104 at 30 Jun 2029 and -12,846 at 30 Jun 2030 (one negative year), then reads 159,796 at 30 Jun 2033. Watch the economy charts: unemployment (chart #8) is 3.679% at 30 Jun 2029 while the share of occupations in shortage (chart #13) is 33.4%. The labour force shrinks at once; demand shrinks later, with the population. Allocation use for universities (chart #17) falls to 14.2% at 30 Jun 2030.

The sector tests:

Sector: planning level filled (Labor package (announced 17 Sep 2026) off -> on; Underlying student visa demand 133,135 persons/yr -> 318,135 persons/yr) takes university and private higher education allocation use (chart #17) to 87.4% and 100.0% at the end of May 2034.

The strict reading of the upward-only rule gives 212,410 (chart #1) against 212,464 under Labor's package: almost no difference, because the hop is already small once the rule is in force.

The wider price ladder (University international fee 40,000 AUD/yr -> 48,000 AUD/yr) lifts the hop (chart #18) to 4,839 a year at 30 Jun 2028 against 3,264.

Takeaway: each package trades migration for a few years of lower unemployment and higher shortages, and the sector's position follows the package: Labor's lifts the providers' use of their places, the caps cut it.

Step 4. Use the A/B comparison to see the signature dynamic (15 minutes)

Settings: A = One Nation as announced (One Nation package on; every other lever at baseline); B = Current settings (every lever at baseline).

Click Scenario B then Current settings, then Scenario A then One Nation as announced. On every chart a solid line is scenario A and a dashed line is scenario B.

Read cause, then effect.

Cause, on the net overseas migration chart (chart #1): at 30 Jun 2030 A (One Nation) reads -12,846 against B's (current settings) 283,892.

Effect one, on the workers and jobs chart (chart #9): the labour force at 30 Jun 2030 is 16,068,943 in A against 16,473,054 in B.

Effect two, on the unemployment chart (chart #8): A's rate at 30 Jun 2029 is 3.679% against B's 4.517%, but by 30 Jun 2033 A reads 5.722% against 4.957%.

Effect three, on the growth chart (chart #10): growth in GDP per person in A is -0.441% a year at 30 Jun 2032 against B's 0.170%.

Effect four, on the international tuition revenue chart (chart #21): income at 30 Jun 2031 is \$6.2 billion in A against \$10.0 billion in B.

Why this happens. Fewer arrivals shrink the labour force straight away. The jobs that new residents' spending would have created disappear more slowly, so for a year or two there are more jobs than workers: unemployment falls and shortages rise. Then demand catches up with

the smaller population, and overshoots: unemployment ends above where it would have been; output per person dips because the same capital and firms are serving fewer customers.

Takeaway: the benefit of a cut to unemployment is real but temporary; the demand offset takes it back.

Step 5. Find the structural traps (20 minutes)

The traps this model makes apparent are fixes that fail and shifted burdens: a lever pulled to relieve one problem also changes what created it. Four experiments show when the relief holds and when it does not.

Experiment 1 - worker intake under the full offset.

Settings:

A = Worker intake +50% (Underlying skilled temporary visa demand 30,105 persons/yr -> 46,105 persons/yr; Underlying working holiday demand 89,930 persons/yr -> 134,930 persons/yr);

B = Current settings.

Read the unemployment chart (chart #8) at 30 Jun 2028 and at the end of the horizon:

Run (scenario A)	Unemployment at 30 Jun 2028	Unemployment at the end of May 2034
Current settings (full offset)	4.350%	5.009%
Worker intake +50% (full offset)	4.565%	5.097%

The extra workers raise unemployment at first; the jobs their spending creates then catch up and the gap narrows.

Experiment 2 - the same move with half the offset.

This repeats Experiment 1 with one assumption changed: new residents' spending creates only half as many jobs. One rule makes this and the next two experiments work: a preset click resets every lever in the active scenario, so always click the preset first and move any extra slider second.

1. **Set up.** Click Scenario B, then the Current settings preset; B stays there for the whole experiment, so the dashed lines are your baseline. Then click Scenario A, so everything you change from here on moves the solid lines.
2. **Run 1: half the offset, intake unchanged.** Click the Current settings preset. Under Economy assumptions, move Demand offset: jobs created by new residents from 1 to 0.5 (the readout beside the slider shows 0.5 share; if dragging overshoots, click the slider and use the arrow keys, which move it one step at a time). Hover over the unemployment chart (chart #8) at

30 Jun 2028 and again at its right-hand end (the readout names 27 May 2034), and note the Unemployment rate - A row: these are row 1 of the table below.

3. **Run 2: half the offset, extra workers.** Click the Worker intake +50% preset. It puts the demand offset back to 1, so move it to 0.5 again. Read the same two points: row 2 of the table.

The two runs:

Run (scenario A)	Unemployment at 30 Jun 2028	Unemployment at the end of May 2034
Demand offset 0.5, intake at baseline	5.724%	7.316%
Demand offset 0.5, worker intake +50%	5.994%	7.487%

With half the offset, unemployment climbs whatever the intake, and the extra workers add to it. The same policy is benign or harmful depending on an assumption about how fast new residents' spending becomes jobs.

Experiment 3 - the price ladder with and without the rule.

This asks whether a wider gap between university and private fees pushes more students down the price ladder, and whether the upward-only rule in Labor's package stops it. Every reading is on the hop chart (chart #18): hover at 30 Jun 2028 and at the right-hand end (27 May 2034), and note the Hop down the price ladder - A row.

1. **Set up.** As before: Scenario B on Current settings, then click Scenario A.
2. **Run 1: baseline.** Click the Current settings preset. Row 1 of the table.
3. **Run 2: wider ladder, no rule.** Click the Sector: wider price ladder preset, which raises the university international fee from \$40,000 to \$48,000 a year. Row 2.
4. **Run 3: rule, no fee change.** Click the Budget path: Labor package preset, which switches on Labor's package and its upward-only rule. Row 3.
5. **Run 4: rule and wider ladder.** Leave the Labor package on. Under Higher education sector, move University international fee from 40,000 to 48,000 AUD/yr. Do not click a preset here: it would switch the Labor package off again. Row 4.

The four runs:

Run (scenario A)	Hop at 30 Jun 2028 (a year)	Hop at the end of May 2034 (a year)
Current settings	3,264	2,457
Wider price ladder	4,839	3,651
Labor package	139.7	358.6
Labor package + wider price ladder	208.9	542.2

Without the rule, a wider fee gap feeds the hop directly; with the upward-only rule in force, the same fee rise adds only a little, because the rule has removed the quick fix the gap would otherwise reward. Onshore transfers are the one draw on a provider's allocation that MD115 does not throttle, so the rule is what protects the planning level's shares from them.

Experiment 4 - a fee cut at a provider.

This asks what a fee cut buys a single provider: archetype A, a private city non-university provider. Read two charts at their right-hand end (27 May 2034), each time on the Archetype A - A row of the hover readout (archetype A, scenario A): allocation use on chart #22 and revenue against 2025 on chart #23.

1. **Set up.** As before: Scenario B on Current settings, then click Scenario A.
2. **Run 1: baseline.** Click the Current settings preset. Row 1 of the table.
3. **Run 2: fee cut alone.** Click the Archetype A: fee cut preset, which lowers archetype A's fee from \$24,000 to \$19,000 a year. Row 2.
4. **Run 3: Labor's package alone.** Click the Budget path: Labor package preset. Row 3.
5. **Run 4: Labor's package and the fee cut.** Leave the Labor package on. Under Archetype providers, move Archetype A fee (private city non-university) from 24,000 to 19,000 AUD/yr. Do not click a preset here. Row 4.

The four runs:

Run (scenario A)	Archetype A allocation use at the end of May 2034	Archetype A revenue against 2025 at the end of May 2034
Current settings	48.2%	63.7%
Archetype A: fee cut	57.6%	62.9%
Labor package	74.8%	101.8%
Labor package + Archetype A fee cut	81.9%	93.2%

The fee cut raises allocation use in both settings. At baseline it leaves revenue about where it was; under Labor's package, where demand is already recovering, it costs revenue. A fee cut buys a provider distance from the MD115 threshold, not income.

The structural finding. Migration settings move unemployment for a few years; whether they move it for good rests on the demand offset. In the sector, the upward-only rule and the planning level work on different draws, so a rule change can protect shares while only demand fills them. Three implications for government: judge a migration change on its first two years, when its labour-market effect is concentrated; pair intake changes with housing and training, which set the lasting outcomes; and read a provider's allocation use as a demand signal before trimming its allocation to match it.

Read it term by term. With the election lines in view (hover at the lines: 27 May 2028 and 27 May 2031): under Labor's package, reported migration (chart #1) is 173,245 at the May 2028

election, 207,945 at the May 2031 election and 212,464 at the end of May 2034; unemployment (chart #8) at May 2028 reads 3.954% against 4.334% at baseline, and private higher education's allocation use (chart #17) 61.0% at May 2028 and 84.0% at May 2031.

Step 6. Reflect (10 minutes)

- Which party setting gets migration closest to its own stated target, and in which year does it miss?
- How long does the unemployment benefit of a cut last, and what reverses it?
- Which ambitions can migration settings not reach, and what would have to change instead?
- Is the sector short of places or short of students, and which of the dashboard's levers answers that?
- Where would you want better evidence before acting - the offset, productivity, the size of a party's cap, or the hop's response to the fee gap?
- What would you watch in the ABS and Department of Education releases over the next two years to tell which path Australia is on?

System dynamics is the right tool when the question turns on stocks, delays and feedback - here, cohorts that take years to depart, students who move between courses, and jobs that follow people with a lag. It is the wrong tool for a single-year point forecast.

Two closing observations. First, most of the next two years of migration is already decided by who arrived in 2022-23. Second, every party's economic promise rests on an assumption about the demand offset that none of them has stated, and every sector promise rests on demand the settings do not create.

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